



Presents

Candlestick Formations

By Russ Horn

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Candlestick Formations

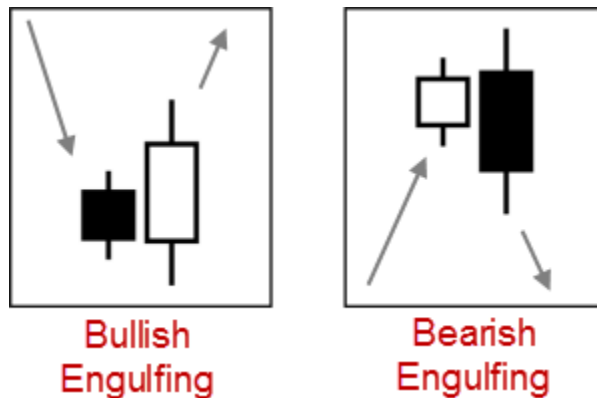
We use Japanese Candlesticks when we trade. The advantage to using these is they have a way of hinting to us what the market will do almost right away. There are certain formations that candles make that tell us what the market consensus is.

Candlestick formations can be a red flag to a trade we are in. Often we might get a reversal formation halfway to our target, this is an instance when you would consider closing the trade early and keeping your hard earned profits.

There are books written on the subject, and some go into it at length. Steve Nison is the guy who introduced the Western world to Japanese Candlesticks, and he has written volumes on the subject. Here I am going to explain the few of the more popular ones that I pay attention to.

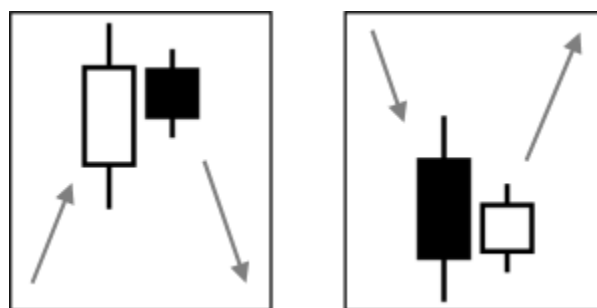
Engulfing

One of the more popular candlestick formations is the Engulfing. It's a 2 candle formation and will appear at the top or bottom of a larger market movement. There is a small body candle followed by a big body candle the opposite color. The larger candle's body will be larger than the body of the previous candle. The **Bullish Engulfing** formation appears at the bottom of a trend. The **Bearish Engulfing** shows up at the top of a trend.



Inside Bar / Harami

This is a 2 candle formation that occurs at the top or bottom of a market move. The first candle has a larger candle body which is followed by a second candle with a smaller candle body (in Japanese, Harami means pregnant). The body of the second candle will be contained within the body of the larger candle to the left and be of the opposite color.



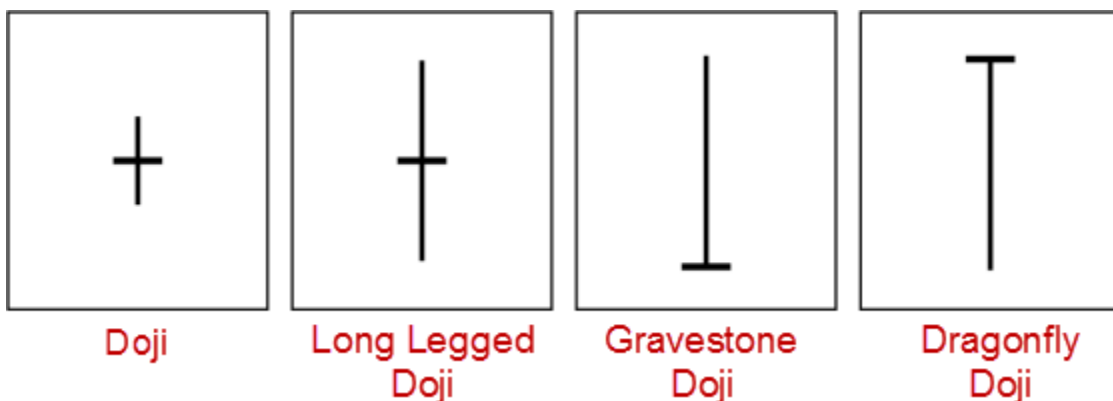
Doji

Doji is a one candle formation. The key feature of a Doji is that the open and close price is the same or very close to being the same. The body of a Doji will be very narrow as the candle opens in the same place it closes. The length of the upper and lower shadows will remain fairly small as the market has lost the momentum it recently had. A change in direction often follows this reduction in momentum. A Doji is only a valid candle formation when it appears at the top or bottom of a market move.

Long Legged Doji: The open and close are at the same price, but the upper and lower wicks are very long. The creation of the long Legged Doji has the market frantically looking for a direction. This is a period of indecision, but at the top or bottom of a trend, the temptation for the market to reverse is very strong.

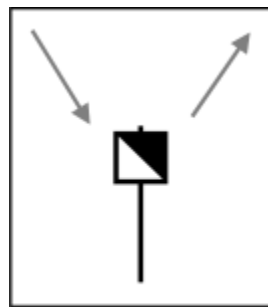
Gravestone Doji: With a long wick, the open and close of this Doji are at the bottom of the candle. It is a great formation denoting the end of an upward trend, but can, on rare occasions, also be found at the bottom of a trend. (also referred to as Pin Bar).

Dragonfly Doji: The opposite of a Gravestone Doji, the Dragonfly Doji has its open and close at the top of the candle formation. This is a formation that will clearly determine the bottom of a trend, but will occasionally appear at the top of a trend. (also referred to as Pin Bar).

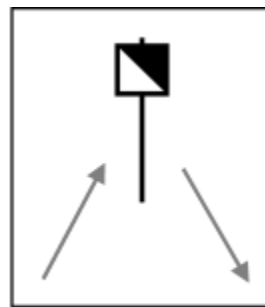


Hammer / Hanging Man

The same candlestick formation as one another, the Hammer appears at the bottom of a move and the Hanging Man appears at the top. This candlestick has a small body and a longer lower wick. There will be either no upper wick or a very small one. The length of the lower wick will be approximately 2 times the length of the body. The color of the body doesn't much matter, but it's been said that the effectiveness if the formation is better if the Hammer's body is white and the Hanging Man's body is black.



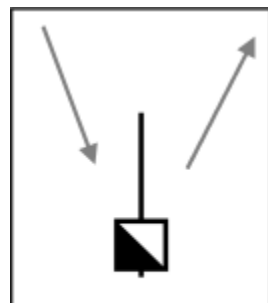
Hammer



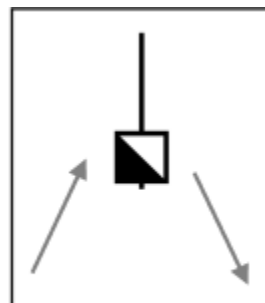
Hanging Man

Inverted Hammer / Shooting Star

The same description as the Hammer and Hanging man, the Inverted Hammer appears at the bottom of a move and the Shooting Star appears at the top. This time the Upper wick is double the length of the candle's body and either no or very small lower wick.



Inverted
Hammer

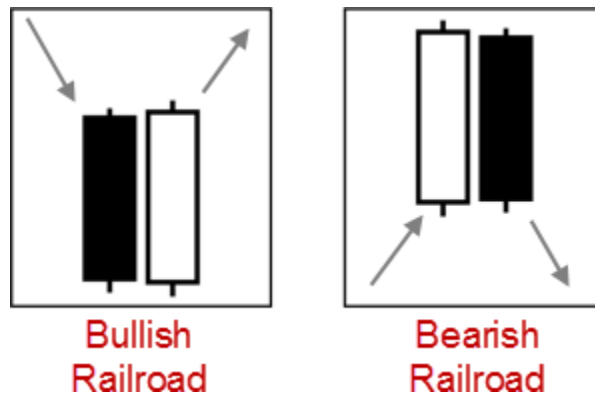


Shooting Star

Railroad Tracks

This is an instance of a quick change of mind. Railroad tracks are 2 similarly lengthy candles that are longer than the average surrounding candles. They stick out like a sore thumb when you see them. In an upward market movement, there will be a strong surge upward and then the next candle will be an almost complete undoing of the initial candle. This would be the same in a downtrend. They are good reversal candles in moving markets.

Railroad tracks don't always have to happen in a moving market, you can find them in times or relative quiet. In these cases, it's almost like a glitch in the works, there is very little in the way of an increase in momentum. Railroad tracks in a quiet market should not be traded, or traded with extreme caution.



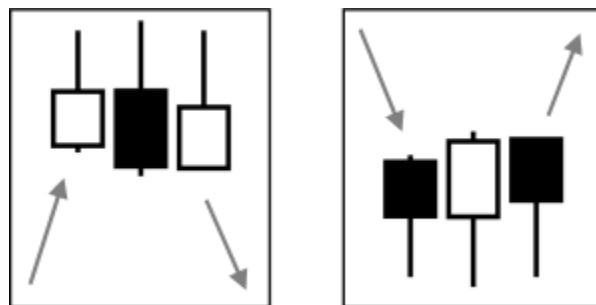
Wicks in General

Without looking for specific candle formations, the one thing that I pay the most attention to would be wicks. Whether or not the candle body is longer or shorter than the average, a long wick will often point to a change in direction. A long wick on a single candle means that during that formation of the candle there was a more than usually aggressive battle between the bulls and the bears. Whoever was able to push the charge back to actually form the wick will generally keep pushing. An initial powerful surge upwards by the bulls is met with retaliation by the bears. The bears defending their control over the market will continue to be aggressive for a short while afterwards.

Simultaneous Wicks

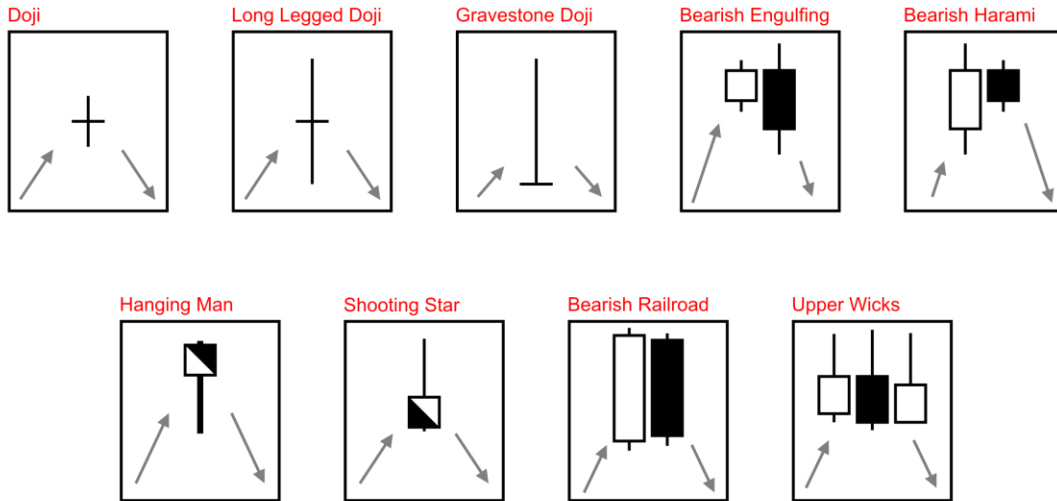
A series of wicks is a heads-up to a change in market direction. As price keeps trying to push in a direction, it is being continually met with resistance. Eventually this resistance will take over and push price in the opposite direction. In a market that was moving upwards, upper wicks will show pressure to the downside, and in a downward market, several lower wicks will hint to a potential move up.

The bodies on the candles don't have to be unusual in length, and there doesn't have to be an exact number of candles. 2 candles with these wicks are called "tweezers", but you will come across 3 or 4 candles all with longer wicks on one side of the candle.



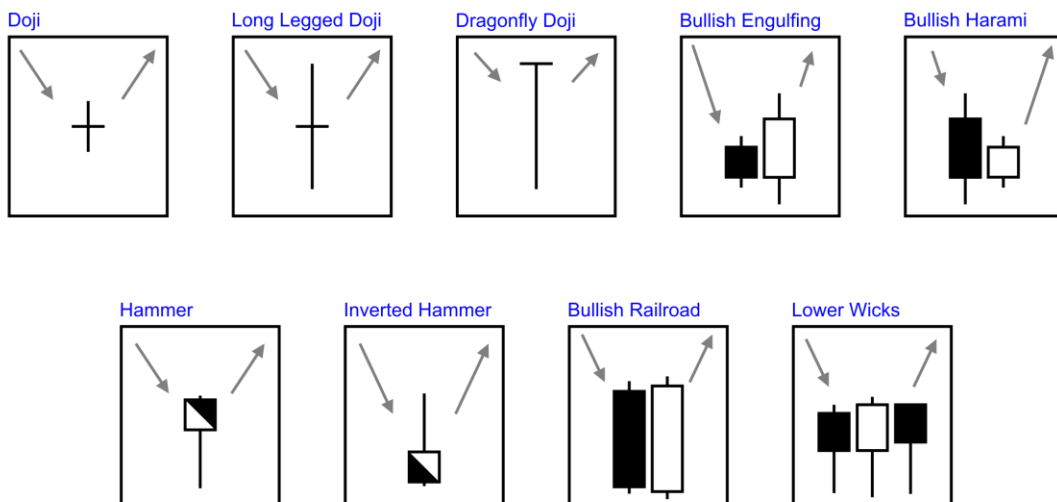
Quick Reference Guide

Bearish Candle Formations



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Bullish Candle Formations



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Candlestick formations are great to be aware of, but like the man himself, Steve Nison warns, we must trade the formations in conjunction with other indicators.

These formations work best when they appear at the top or at the bottom of a market move. Trying to trade these formations in a sideways market will not yield the desired results.

Candlestick formations are best used alongside other trading elements like moving averages or support and resistance levels. They work well with the guidelines laid out by the Rapid Results Method.

Good trading to you!

Russ Horn